Microsoft Corporation

Microsoft Reports Fourth Quarter Fiscal 2026 Results

REDMOND, WASHINGTON — July 27, 2026 — Microsoft Corporation (Nasdaq: MSFT) today announced financial results for its fiscal 2026 fourth quarter ended June 30, 2026.

- Revenue of $64.6 billion, up 12% year over year (14% in constant currency)
- GAAP diluted EPS of $3.18
- Operating income of $27.3 billion, a 42.3% margin
- Microsoft Cloud revenue: $36.8 billion
- Azure and other cloud services growth: 30%

“Q4 FY2026 was a solid quarter for Microsoft. Revenue grew 12% to $64.6 billion, with Intelligent Cloud up 18% on Azure and other cloud services growth, including the AI services contribution,” said Elena Marsh, Chief Executive Officer. “Our teams delivered for customers and we enter the next quarter with momentum.”

“Operating cash flow was $31.9 billion and we returned $6.8 billion to shareholders through dividends and repurchases. Diluted earnings per share were $3.18,” said Thomas Keller, Chief Financial Officer.

Operating highlights

Microsoft Cloud revenue	**$36.8 billion**
Azure and other cloud services growth	**30%**
Capital expenditures including finance leases	**$16.8 billion**

Productivity and Business Processes revenue was $23.0 billion, up 10.2% compared with $20.9 billion in the prior-year period, reflecting Microsoft 365 commercial seat growth and Copilot attach.

Intelligent Cloud revenue was $31.2 billion, up 17.6% compared with $26.5 billion in the prior-year period, reflecting Azure and other cloud services growth, including the AI services contribution.

More Personal Computing revenue was $10.4 billion, up 0.4% compared with $10.4 billion in the prior-year period, reflecting Windows OEM and devices against a soft PC market, offset by search and news advertising.

Business outlook

Microsoft will provide forward-looking guidance in connection with this quarterly earnings announcement on its earnings conference call and webcast.

Dividend

The Board of Directors declared a cash dividend of $0.80 per share of common stock, payable to shareholders of record as of the close of business in the second month of the coming quarter.

Conference call

Microsoft will host a conference call and webcast at 2:00 p.m. PT today to discuss these results. A replay will be available on the investor relations website for approximately two weeks.

Forward-Looking Statements

This release contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995, including statements about Microsoft's outlook, product plans, capital expenditures and capital return. These statements involve risks and uncertainties, and actual results may differ materially. Factors that could cause results to differ include those described under 'Risk Factors' in the Company's most recent Annual Report on Form 10-K and subsequent Quarterly Reports on Form 10-Q. The Company undertakes no obligation to update forward-looking statements.

About Microsoft

Microsoft enables digital transformation for the era of an intelligent cloud and an intelligent edge. Its mission is to empower every person and every organization on the planet to achieve more. The Company's fiscal year ends June 30.

Contacts

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CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Unaudited) (in millions, except per-share amounts)

	Three months ended Jun 30, 2026	Three months ended Jun 30, 2025	Nine months ended Jun 30, 2026	Nine months ended Jun 30, 2025
Revenue	64,584	57,755	239,786	212,514
Cost of revenue	20,449	18,091	75,895	66,755
Gross margin	44,135	39,664	163,892	145,759
Operating expenses:				
Research and development	8,073	7,219	29,973	26,564
Sales and marketing, general and administrative	8,719	7,797	32,371	28,689
Restructuring charge	—	—	700	—
Total operating expenses	16,792	15,016	63,044	55,254
Operating income	27,343	24,648	100,847	90,506
Other income, net	129	116	480	425
Income before income taxes	27,472	24,763	101,327	90,931
Provision for income taxes	4,945	4,457	18,239	16,368
Net income	22,527	20,306	83,088	74,563
Earnings per share:				
Basic	$3.20	$2.88	$11.78	$10.56
Diluted	$3.18	$2.86	$11.71	$10.50
Shares used in computing diluted EPS (thousands)	7,090,015	7,100,000	7,093,759	7,103,744
Cash dividends declared per share	$0.80	$0.80	$3.20	$3.20

Revenue by segment (in millions)

Segment	Q4 FY2026	Q4 FY2025	Change
Productivity and Business Processes	23,016	20,884	10.2%
Intelligent Cloud	31,162	26,504	17.6%
More Personal Computing	10,405	10,367	0.4%
Total	**64,584**	**57,755**	**11.8%**

Constant-currency growth (non-GAAP)

	Reported growth	Constant-currency growth
Productivity and Business Processes	10.2%	12.0%
Intelligent Cloud	17.6%	19.4%
More Personal Computing	0.4%	2.2%
Total revenue	**11.8%**	**13.6%**

Constant-currency growth removes the effect of foreign exchange rate movements by translating current-period results at prior-period rates.

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions) (Unaudited)

	Jun 30, 2026	Jun 30, 2025
ASSETS		
Cash, cash equivalents and marketable securities	88,223	74,000
Accounts receivable, net	29,063	25,990
Inventories	1,292	1,155
Other current assets	5,167	4,620
Total current assets	123,744	105,765
Property, plant and equipment, net	436,586	390,425
Goodwill and intangible assets	58,125	51,980
Other non-current assets	22,604	20,214
Total assets	641,060	568,384
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	27,125	24,257
Other current liabilities	19,375	17,327
Total current liabilities	46,500	41,584
Long-term debt	46,000	46,000
Other non-current liabilities	251,930	240,801
Total liabilities	344,430	328,384
Total shareholders' equity	296,630	240,000
Total liabilities and shareholders' equity	641,060	568,384

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions) (Unaudited)

	Twelve months ended Jun 30, 2026	Twelve months ended Jun 30, 2025
Operating activities:		
Net income	83,088	74,563
Depreciation and amortization	26,377	23,377
Share-based compensation expense	10,790	9,563
Changes in operating assets and liabilities and other	(2,188)	(2,125)
Cash generated by operating activities	118,067	105,378
Investing activities:		
Payments for acquisition of property, plant and equipment	(62,344)	(55,254)
Purchases and maturities of marketable securities, net	(14,168)	(12,645)
Cash used in investing activities	(76,513)	(67,899)
Financing activities:		
Payments for dividends	(22,700)	(22,732)
Repurchases of common stock	(4,500)	(4,500)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(27,200)	(27,232)
Increase (decrease) in cash and cash equivalents	14,355	10,247